

Venus Sugar Limited v. State of Uttar Pradesh

High Court of Judicature at Allahabad · Division Bench · 29 March 2023 · Writ - C No. 1432 of 2023 · **Petition disposed; clause 6.5 objection to be decided, demand in abeyance**

HEADNOTE

Allahabad High Court disposed of the writ against a tariff-difference demand by directing respondent no. 3 to decide Venus Sugar Limited's objection dated 25 November 2022, treating it as filed under clause 6.5 of the U.P. Electricity Supply Code, 2005, by a speaking order within four weeks. The demand notice stays in abeyance until that decision and then follows it.

FACTUAL SUMMARY

Venus Sugar Limited challenged a demand notice dated 18 November 2022 for Rs 70,45,021 and a bill-cum-disconnection notice dated 14 December 2022 seeking the tariff difference between schedules LMV-1 and HV-2. It had paid bills through November 2022. In 2020 it applied to raise load from 150 KVA to 300 KVA. Supply was converted from domestic to industrial on 19 March 2021, and HV-2 tariff was paid thereafter. The counter affidavit reckoned the difference from 2018. An objection dated 25 November 2022 was already before respondent no. 3.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.5

Pending tariff-difference objection remitted under clause 6.5

HOLDING

The petition is disposed of with a direction that respondent no. 3 decide the petitioner's objection dated 25.11.2022, treating it as filed under clause 6.5 of the U.P. Electricity Supply Code, 2005, by a speaking order within four weeks of communication of the order. The impugned demand notice remains in abeyance until the objection is decided and thereafter abides by that decision. ¶ 29.3.2023

PRINCIPLE TAGS

clause-6.5-pending-representation-to-be-decided The objection dated 25.11.2022, already before respondent no. 3, was directed to be decided as one under clause 6.5 by a speaking order within four weeks of communication of the order. ¶ 29.3.2023

clause-6.5-alternate-remedy-to-writ The writ was disposed of without adjudicating the LMV-1 and HV-2 tariff difference. The licensee did not oppose a direction to decide the pending clause 6.5 objection. ¶ 29.3.2023

para-6.5-objection-before-coercive-recovery The impugned demand notice remains in abeyance until the clause 6.5 objection is decided, and recovery thereafter follows that decision. ¶ 29.3.2023

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE LMV-1 AND HV-2 TARIFF DIFFERENCE IS RECOVERABLE, AND WHETHER IT RUNS FROM 2018 OR ONLY AFTER CONVERSION TO INDUSTRIAL SUPPLY ON 19.03.2021

Left to the speaking order of respondent no. 3 on the objection dated 25.11.2022. ¶ 29.3.2023